

Case Study - Western Life

Question 1: Overall Results of Western Life

Compared to the budget and forecasts, the main problem is that pre-tax profit came in 15% below forecasts despite the fact that the sales targets were reached.

Western Life's overall financial performance reveals several concerning indicators that warrant analysis:

Profitability Analysis

- Pre-tax profit of €3,789k represents only 4.4% of sales (€87,048k), indicating thin margins
- Operating income of €4,709k, which led to an operating margin of only 5.4%
- Pre-tax profit came in 15% below forecast despite meeting sales targets, suggesting cost control issues

Return on Equity (ROE) Assessment :

Net income of €2,526k on shareholders' equity of €21,104k yields an ROE of approximately 12%. While this exceeds the shareholders' expected return of 9%, the 15% shortfall from forecasted profits suggests the company is underperforming relative to its potential.

Key Financial Ratios

Metric	Value	Assessment
Operating Margin	5.4%	Low
Pre-tax Margin	4.4%	Low
Return on Equity	12.0%	Above target (9%)
Debt-to-Equity	1.30	Moderate leverage
Payroll as % of Sales	41.3%	High (labor-intensive)

The combination of thin margins, high labor costs (41.3% of sales), and the impact of external factors (mad cow crisis, 35-hour work week) creates a challenging operating environment requiring improved cost management and performance monitoring.

Metric	Western Saloon	Cocoon	Grill Express
Pre-tax Margin	3,14%	5,36%	3,13%
Payroll as % of Sales	38%	38%	34%

One division indicates significantly lower sales than the other, reflecting possible inefficiencies or issues with the management system:

Indeed, Grill Expenses have a pre-tax profit of 205 compared to 1761 and 1304 for Western Saloon and Cocoon. It has a similar pre-tax margin, but much smaller absolute profit : sales of 6 552 compared to 56 160 and 24 336.

Grill express has also less advertising expenses : Western Salon 240, Cocoon 100, Grill express 40.

It is also the case for buildings and equipments which is understandable as Grill express is more a fast food than a restaurant : Western saloon 3211, Cocoon 731, Grill express 478.

Question 2. What kind of PMS (performance measurement system) has been designed by the controller? What are the underlying principles of this kind of PMS?

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The controller has designed a full costs allocation system with each chain, transfer price and corporate costs.

It exists three underlying principles in the PMS the controller has done:

- Completeness: According to the controller the sum of chain earnings (€3,270k) plus internal margin (€519k) equals consolidated pre-tax profit (€3,789k). Completeness alone does not guarantee accuracy or relevance.
- Full Absorption: All corporate costs (€13,009k) are allocated to the chains to make sure no cost is not allocated. However, in this approach it is as if they are equally influenced by chain operations.
- Single Allocation Base: Labor costs serve as the sole driver for distributing corporate overhead. With this approach, all overhead correlates with labor, which may not reflect economic reality.

In a PMS it often exists three important principles :

- Controllability : The controller should only evaluate factors managers can control if he wants to judge their performance
- Causality : show a cause and effect relationship
- Relevance to ensure the quality of the PMS

3. How could you apply these principles to improve this PMS?

To improve the PMS, we could thus better apply the principles of controllability, causality, and relevance.

The controller could only evaluate factors the managers can control. The current PMS allocates costs that chain managers can't influence:

- General management salaries (€480k)
- Corporate advertising (€3,100k)
- Property department costs (€350k)
- Chain development costs (€250k)

Costs could be allocated with a cause and effects relationship. For example we could take new allocations :

Cost Category	Current Allocation-	Recommended Allocation
Chain-specific advertising	Pro rata labor costs	Direct assignment
Building depreciation	Pro rata labor costs	Direct to each chain's buildings
Technical assistance	Pro rata labor costs	Based on support hours used
Purchasing/butcher costs	Pro rata labor costs	Based on tonnage consumed

We could also add direct assignment for amortizations. It would help to better allocate costs and calculate a PMS with only indicators each manager can control. Therefore it would help to find the reason for a problem somewhere.

4. Is this PMS relevant for the analysis/decision considered by Mr Soudan?

As said in the question 3, a main problem is that there are things that managers cannot control

1. Arbitrary cost allocation: Corporate costs are distributed based on labor costs, not on actual resource consumption or controll-ability
2. Uncontrollable costs included
3. Disproportionate impact: Grill Express, with lower labor costs (€2,227k vs €21,345k for Western Saloon), receives a smaller absolute allocation but proportionally similar burden relative to its size

Managers can't be held accountable for this.

This driver is not captured in the controller's PMS: while most restaurant customers pay immediately, business clients are granted about 60 days of credit. As a result, each chain carries different levels of accounts receivable (542 for Western Saloon, 321 for Cocoon, and 268 for Grill Express). This likely reflects differences in customer mix and credit exposure (e.g., corporate orders for events or employee meals) and affects cash collection and working-capital needs rather than reported sales.³

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Size of companies must be mentioned : less customer, less employees

When we compare each chain's performance to its own budget, it shows something else when we don't add overheads costs for each :

- Western Saloon: budget 10,859 → actual 10,222 → **-5.9% variance**
- Cocoon: budget 5,263 → actual 4,969 → **-5.6% variance**
- Grill Express: budget 1,105 → actual 1,088 → **-1.5% variance**

Grill Express is the closest to its budget, meaning its manager demonstrates a good cost control and aligns to the budget prevision. The other managers at Western Saloon and Cocoon could be responsible for most of the 15% consolidated profit shortfall.

Therefore, with the different mistakes made in the creation of the PMS, it can lead Mr Soudan to the wrong conclusions and an unfair decision.

5. What type of responsibility centres are we dealing with currently at Western Life?

To remember, a responsibility centre is an unit of an organisation whose manager is responsible for a specific outcome. There are four types : cost centre, revenue centre, profit centre, investment centre.

At Western life, the three chains are considered as profit centre. Indeed their managers are held accountable for revenues. However it is also a cost centre on some points, because they are responsible for some costs like operational costs for example. But they do not control some costs like advertising or real estate. Therefore headquarters departments are also real cost centres, but each chain is like a hybrid model, even if they are considered like profit centres by the controller.

We also have in this cas some support functions with a HR department considered as a cost centre and a purchasing department which is quasi a profit centre.

6. What alternatives do we have to evaluate the performance of the manager? What role does the budget play for the analysis decision considered by Mr Soudan?

Western Life is currently organized around profit centres at the level of each restaurant chain such as Western Saloon Cocoon and Grill Express. Each chain is evaluated based on the profit it generates which means that chain managers are considered responsible for both revenues and costs.

In practice the evaluation relies on pre tax profit calculated for each chain. Sales are directly attributed to the restaurants while most costs are allocated through the management accounting system including raw materials payroll external costs taxes and corporate costs. These profit figures are then used to compare the performance of managers and to support strategic decisions at top management level.

However these profit centres are only partially effective. Chain managers do not have full control over several major drivers of performance. Purchasing is centralized transfer prices are set by headquarters advertising strategy is largely decided at corporate level and investment decisions such as property buildings and financing are fully outside the control of chain managers. Despite this lack of autonomy managers are still evaluated as if they had full responsibility for the profit outcome.

This creates a disconnect between accountability and actual decision making power. As a result the current system may give a distorted view of managerial performance by attributing outcomes to managers that are partly driven by centralized choices rather than by their operational decisions alone.

As we said in previous questions, the allocation of costs has to be changed. Managers are held accountable for costs they do not control. We could repeat these suggestions again for a better allocation.

Cost Category	Current Allocation	Recommended Allocation
Chain-specific advertising	Pro rata labor costs	Direct assignment
Building depreciation	Pro rata labor costs	Direct to each chain's buildings
Technical assistance	Pro rata labor costs	Based on support hours used
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An important metric we could add would be a controllable margin which would be calculated only with costs the managers can control.

Another important suggestion would be to add some non financial metrics like employee turnover, waste or customer satisfaction.

Budget shows that Grill express was the closest to respect its budget, other chains can be held accountable for a lack of profit. Maybe if they used their budgets it would improve their performance. Budget has a key role, it enables you to judge each manager for his own fixed goals.

Thus with a better allocation, a controllable margin, non-financial metrics and taking into consideration the respect of a budget, Mr Soudan would have evaluate the performance of the managers.

7. What are the principles of the PMS that inform this type of decision and how can you apply them here?

Key Principles

The key principles of PMS to inform this type of decision are controllability, responsibility accounting and budget-based evaluation.

When evaluating managerial performance, the most critical principle is controllability, whereby managers should only be held accountable for what they can actually control.

This not only ensures fairness but it creates a system that drives the right behaviors and gives meaningful signals about performance.

Closely related to this is the principle of responsibility accounting, which says that performance measures must align with the actual responsibilities and authority given to each position. There's no point measuring someone's performance based on dimensions that are out of their sphere of control and influence.

Finally, budget-based evaluation provides the proper benchmark. Managers should be assessed against what they were expected to achieve through the budgeting process, not through arbitrary comparisons or cost allocations decided after the fact.

Application to Western Life

In the Western Life case it is quite clear what chain managers are responsible for. They handle customer service quality, staff management including hiring and promotions, tracking raw materials consumption and waste, and planning supply needs based on sales forecasts. What they don't control is equally important: they have no say in purchasing negotiations, corporate advertising strategy, property decisions, product development, or any headquarters functions.

Removing the Distortion of Corporate Cost Allocations

The current income statements show profits after allocating corporate costs of 8,461 to Western Saloon, 3,665 to Cocoon, and 883 to Grill Express. These allocations total 13,009 thousand euros and are distributed based on labor costs, a method that has nothing to do with what chain managers can control.

To properly evaluate the chain managers against their budgets, we need to look at their performance before these corporate allocations. This gives us the controllable profit that actually reflects their operational decisions.

Western Saloon:

- Actual profit (after corporate costs): 1,761
- Add back corporate allocation: 8,461
- Controllable profit (actual): 10,222
- Budget controllable profit: 10,859

- Variance: -637 (only 6% below budget)

Cocoon:

- Actual profit (after corporate costs): 1,304
- Add back corporate allocation: 3,665
- Controllable profit (actual): 4,969
- Budget controllable profit: 5,263
- Variance: -294 (only 6% below budget)

Grill Express:

- Actual profit (after corporate costs): 205
- Add back corporate allocation: 883
- Controllable profit (actual): 1,088
- Budget controllable profit: 1,105
- Variance: -17 (only 2% below budget)

What the Numbers Actually Reveal

This analysis completely transforms our understanding of performance. When we strip away the corporate costs that chain managers don't control, we see that all three managers actually performed quite well against their budgets. Western Saloon and Cocoon both came in about 6% below budget, while Grill Express was remarkably close, only 2% below budget.

In fact, the young Grill Express manager that Mr. Soudan is considering firing actually had the best budget performance of all three chains. Far from being the weak link, this manager delivered almost exactly what was promised, missing the target by a mere 17 thousand euros on a budget of over a million.

The problem isn't with the chain managers at all. All three managed their controllable operations quite effectively. The real issue is that corporate costs came in higher than expected or that the budgeting process didn't properly account for how corporate costs would actually be distributed. When these uncontrollable costs are allocated to the chains, they create the illusion of poor chain performance, but that's just an artifact of the allocation method.

8. Would this affect Mr Soudan's conclusion?

As we saw in the previous questions, his decision is affected by some mistakes in the construction of the PMS. So applying a proper one could reverse the decision.

Table 1: Controllable Contribution Margin (before corporate cost allocation)

	WS	Cocoon	GE	Total
Sales	56 160	24 336	6 552	87 048
Raw materials	-17 127	-7 414	-1 917	-26 458
External costs	-4 658	-1 733	-860	-7 251
Payroll costs	-21 345	-9 245	-2 227	-32 817
Taxes	-2 808	-975	-460	-4 243
Controllable margin	10 222	4 969	1 088	16 279
Margin %	18.2%	20.4%	16.6%	18.7%

With a controllable margin, we can see that Grill Express's lower absolute profit is due to its lower size and its model of fast food.

As we told before, the budget shows another story than the one from the controller.

Thus we conclude that the shortfall of 15% comes mainly from overhead costs, which the managers of the chains can't control. With a better allocation of these costs we could maybe find that Grill Express has a problem but it wouldn't be the fault of the manager of the chain.

To conclude, Mr Soudan should reverse his decision. The manager of Grill Express performs good with his tools in spite of an advertising allocation which privileges other chains. The main problem on which he should focus is overheads cost. He would have a better evaluation with a proper PMS and therefore find better conclusions.